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Securing a Basis Step-Up at a Manageable Cost

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In this article, Willens examines the Holy Grail of cost basis: a mechanism for converting a stock purchase into an asset purchase.

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Prominent among any buyer's objectives, from a tax point of view, when pursuing a taxable acquisition, is to achieve a cost basis in the target's assets. That cost basis will translate into enhanced depreciation and amortization deductions, thus depressing taxable income and tax liabilities. But when the buyer has a cost basis in the target's stock that they are acquiring, the target's assets will retain their historical and inevitably low basis.

If there were a federal income tax mechanism for converting the stock purchase into an asset purchase — the Holy Grail of cost basis for the target's assets — it would be very much in play. In fact, such a mechanism exists. Unfortunately, its prohibitive cost causes it to be exploited only sparingly.

General Utilities Doctrine

Under section 338(g), with a qualified stock purchase — that is, a transaction or series of transactions unfolding over a 12-month period — in which the purchasing corporation purchases the amount of the target's stock described in section 1504(a)(2),[1] the purchasing corporation may elect to treat the target as if it (1) had sold all its assets in a single transaction at the close of the acquisition date for their fair market value and (2) were a new corporation, purchasing those very same assets for a similar amount on the following day. The salubrious effect of this "deemed sale" is that the target's assets acquire, in the buyer's hands, a new basis equal to their FMV — that is, a coveted cost basis.

Thus, making a section 338 election would appear to be standard operating procedure for acquirers. After all, it accomplishes the objective sought by all buyers in taxable transactions — that is, securing a cost basis for the target's assets. At this point, however, we must perform our due diligence and ask ourselves whether there are any costs associated with the election. The answer to that is yes, and in most instances, those costs will be found to be prohibitive.

When section 338 was enacted in the 1982 Tax Equity and Fiscal Responsibility Act,[2] the target recognized neither gain nor loss on the deemed sale because of former section 337, the embodiment of a tax convention known as the *General Utilities* doctrine. Under that doctrine,

[1]Stock possessing at least 80 percent of the total voting power of the stock of the corporation and having a value equal to at least 80 percent of the total value of the stock of such corporation — treating some "plain vanilla" preferred stock, described in section 1504(a)(4), as "other than stock."

[2]Section 338 was enacted to replace any nonstatutory treatment of a stock purchase as an asset purchase under the so-called *Kimbell-Diamond* doctrine. *See* Rev. Rul. 90-95, 1990-2 C.B. 67. Asset purchase treatment now exclusively turns on whether, in connection with a qualified stock purchase, a section 338 election is made for the target. The fact that the purchaser acquired the target's stock for the express purpose of liquidating it in order to acquire its assets is of no special significance. Absent a section 338 election, such a transaction will be treated, simply, as a qualified stock purchase followed by a section 332 liquidation of the target, and the acquirer will be left holding the target assets at the same basis as when they were held by the target. In other words, a qualified stock purchase will be accorded independent significance vis-à-vis the subsequent liquidation of the target.

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assets could move from one corporation to another or from a corporation to its shareholders, largely free of corporate-level tax consequences. The *General Utilities* doctrine offered the prospect of a "free" basis step-up — that is, one that was available without a countervailing tax cost. When the doctrine applied, the transferor's gain went largely untaxed, yet the transferee nonetheless obtained a cost basis for the transferred assets.

Section 337, however, along with all other remaining vestiges of the *General Utilities* doctrine, was unceremoniously repealed in the Tax Reform Act of 1986. Thus, what had been a "single level of tax" route to a cost basis suddenly became a double level of tax route — that is, the sellers of the target's stock, as well as the target itself (in connection with the deemed asset sale), would each recognize gain. The repeal of the *General Utilities* doctrine essentially sounded the death knell for regular section 338 elections.

Today, section 338 elections are rarely made,[3] resulting in buyers only sporadically achieving a cost basis in their targets' assets. That, of course, has a profound and measurable effect on the pricing of deals. The amount the buyer is willing to pay for the target's stock must be calculated with the knowledge that no tax benefits will accompany the acquisition so that the headline price for the deal and its effective price (because the transaction is bereft of tax benefits) will frequently be one and the same.

Consolidated Target

While conventional section 338 elections indisputably result in double taxation, such double taxation could have been rather easily avoided if the selling shareholder were itself a corporation and had first liquidated the target under section 332(a) and then sold the target's assets to the purchaser. The buyer would obtain a cost basis in the acquired assets and do so at the cost of only a single level of tax — that is, the tax imposed on the parent for the sale by it of the liquidated subsidiary's assets. Those assets were held by the parent at the same basis at which they were held by the liquidated subsidiary.[4]

Not everyone was aware that this simple technique was available, with the inevitable result that only well-informed taxpayers used it. Congress found this situation intolerable, and in order to permit substance over form to control in this corner of the law, it created a special type of section 338 election: the section 338(h)(10) election.

The section 338(h)(10) election is available if the target is a member of an affiliated group (or an S corporation), and unlike the regular section 338 election, it must be made jointly, by each of the seller and the purchaser. If the election is made, a series of fictions rapidly unfold: The stock sale gain or loss is ignored, and the target is treated as selling its assets to a new corporation, owned by the purchaser, for the price the purchaser paid for the target's stock plus the target's liabilities inherited by the new corporation while it is a member of the seller's consolidated group. The target is then treated as if, before the close of the acquisition date but after the deemed asset sale and while it is a member of the selling consolidated group, it transferred all its assets to members of the selling consolidated group and ceased to exist.

Usually the transfer will be treated as a distribution to which section 336 or section 337 applies because the deemed liquidation is governed by section 332(a). The result is a cost basis in the target's assets at the cost of only one level of tax (precisely the result achieved while the *General Utilities* doctrine was extant).

We have found that buyers are always eager to execute a section 338(h)(10) election. Whether the seller will be willing to join such a buyer in that endeavor depends, largely, on the relative magnitude of the seller's outside basis in the target's stock compared with the target's inside

[3] Some target corporations bring substantial net operating loss carryovers to the table. When the buyer completes a qualified stock purchase and makes a section 338 election, the deemed sale gain can be offset by the target's NOL carryovers without limitation. The section 382 limitation — which limits the amount of taxable income, following an ownership change of a loss corporation, permitted to be offset by the loss corporation's pre-change NOLs — does not come into play here because, in the words of Martin D. Ginsburg and Jack S. Levin, "The deemed sale gain is not within the ambit of section 382 since it is recognized on the target's final income tax return rather than in a post-ownership change year." Thus, in the right circumstances, a section 338 election for a loss target might make a great deal of sense. Such election would convert what would be, thanks to section 382, restricted and limited NOL carryovers into unrestricted tax deductions resulting from the basis step-up that is the very essence of a section 338 election.

[4] *See* section 334(b)(1).

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net basis in its assets. If the outside basis is appreciably higher than the inside net asset basis, a sale of the target's stock, without an accompanying section 338(h)(10) election, will produce less taxable gain, and presumably, the seller in those instances will be unwilling to make the election. Outside basis will be higher when the seller previously purchased the target's stock, for a price greater than the target's inside net asset basis, and the purchase was structured so that it left the target's asset basis unchanged — that is, no section 338 election was made in connection with the purchase (because the purchase took place after the repeal of the *General Utilities* doctrine).

Thus, the seller's willingness to accommodate the buyer in a joint section 338(h)(10) election can be gauged by determining precisely how the target came to be a member of the selling consolidated group. If the target was "formed" by the seller, through a contribution of assets from the seller to the target, or the target was acquired by the seller in a reorganization, there is likely to be inside/outside basis conformity, making for an amenable seller who has nothing to lose by joining the buyer in the election. On the other hand, if the target joined the selling consolidated group by means of a purchase of its stock after the demise of the *General Utilities* doctrine, it is almost certain that the outside basis will exceed the target's inside net asset basis, calling into question the seller's willingness to join in the election that the buyer is importuning them to execute.

Noncorporate Entity

The purchase of all the interests in a partnership or the lone membership interest in a single-member limited liability company accomplishes the same results as does a section 338(h)(10) election: a basis step-up at the modest cost of a single level of tax. Thus, in Rev. Rul. 99-6, 1999-1 C.B. 432, C and D are equal partners in CD. C and D sell their entire interests in CD to E, an unrelated purchaser, in exchange for 10x dollars each. The ruling concludes that the CD partnership terminates under former section 708(b)(1)(A) when E purchases the partnership interests of C and D in CD. C and D must recognize gain or loss, if any, resulting from the sale of their partnership interests in accordance with section 741.

Things then turn asymmetrical. As regards E, the ruling concludes that the CD partnership is deemed to make a liquidating distribution of its assets to C and D and that, immediately thereafter, E is deemed to acquire, by purchase, all the former partnership's assets. E's basis in the assets is 20x dollars under section 1012. E enjoys a basis step-up and does so at the cost of only one level of tax, imposed on A and B.

Similarly, in Rev. Rul. 99-5, 1999-1 C.B. 434, a single member LLC was disregarded as an entity separate from its owner, A. B purchased 50 percent of A's ownership interest in the LLC. The transaction is treated as the purchase of a 50 percent interest in each of the assets of the LLC, which are treated as held directly by A for federal income tax purposes. Thus, a purchase of interests in a single-member LLC is, simply, a purchase of the LLC's assets, for which a cost basis would be awarded, which is treated as held directly by the LLC's single member. The basis step-up comes at a manageable cost — that is, at the cost of only a single level of tax imposed on the selling member.

Real Estate Investment Trusts

With a section 338(h)(10) election, the single level of tax imposed as the cost of the basis step-up is visited on the selling corporation; the deemed asset sale is taxable (to the group of which the selling corporation is a member), but the deemed liquidating distribution is not because it is governed by section 332(a) and its companion, section 337(a).

When the target is a real estate investment trust, the outcome is the same for the buyer; it will enjoy a cost basis in the REIT's assets, but in this case, the single level of tax is imposed on the REIT's shareholders.

Most REIT acquisitions are structured as forward cash mergers of the REIT with and into the acquirer. Forward cash mergers cannot qualify as a reorganization because the former owners of the target business enterprise do not maintain a "continuity of interest" therein through their ownership of equity interests in the party that succeeds to the business enterprise.[5]

[5] *See* Rev. Rul. 69-6, 1969-1 C.B. 104. *See also West Shore Fuel Inc. v. United States*, 598 F.2d 1236 (2d Cir. 1979).

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The transaction is treated as a sale by the target of its assets to the acquirer, followed by a distribution by such target of the net sales proceeds to its shareholders in complete cancellation and redemption of its stock. While the deemed sale gain is recognized, that recognized gain does not produce tax liability at the REIT level because the REIT is afforded a dividends paid deduction for the deemed distribution to its shareholders of the net sales proceeds, courtesy of section 562(b)(1)(B).

Section 562(b)(1)(B) states:

> In the case of a liquidation occurring within twenty-four months after the adoption of a plan of liquidation, any distribution within such period pursuant to such plan shall, to the extent of the earnings and profits of the corporation for the taxable year in which such distribution is made, be treated as a dividend for purposes of computing the REIT's dividends paid deduction.

If, as is almost always the case, the purchaser is itself a REIT, the cost basis it obtains in the target's assets is invaluable, because the increased tax deductions that such a basis spawns reduce the REIT's "real estate investment trust taxable income" and thus its dividend payment obligations (to maintain its status, a REIT must distribute to its shareholders at least 90 percent of its REIT taxable income), thus allowing it to husband its resources for productive use in its business.

So although the repeal of the *General Utilities* doctrine prevents a step-up in the basis of a freestanding C corporation's assets at the expense of only a single level of tax, there are many opportunities to achieve this beneficial combination with targets that are organized in some other way — that is, when the target is a consolidated target or an S corporation (through the making of a section 338(h)(10) election), when the target is a partnership or a single-member LLC for which a check-the-box election has not been made, and even when the target is a REIT. Because most businesses are conducted in non-C corporation format, the buyer of such an entity will often be able to score a cost basis in the target's assets and do so with a *General Utilities* doctrine gloss — that is, at the modest expense of only one level of tax. ■

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